KYC and Anti-Money Laundering Policy

CYPADI LTD · CYP-AML-001 · VERSION 1.1 · INTERNAL – CONFIDENTIAL

Document control

Document title	KYC and Anti-Money Laundering Policy
Document reference	CYP-AML-001
Version	1.1
Organisation	CYPADI LTD
Legal form	Private limited company incorporated in Rwanda
RDB registration number	123088034
Registered address	Kimironko, Gasabo, Kigali, Rwanda
Business activity	Operation of the online marketplace shop.cypadi.com
Policy owner	Pacifique MASENGESHO, Compliance Officer — compliance@cypadi.com, +250 792 359 800
Approved by	Pacifique MASENGESHO, Managing Director
Effective date	10 November 2026
Next scheduled review	Twelve (12) months from the effective date, and on any material change
Classification	Internal — may be shared with payment partners, banks and competent authorities

Version history

Version	Date	Summary of change
1.0	July 2026	Initial issue.
1.1	10 November 2026	Document control and governance added; named Compliance Officer; customer and enhanced due diligence thresholds defined; sanctions, PEP and adverse media screening added; suspicious transaction reporting to the Financial Intelligence Centre added; five-year retention set; vendor settlement rule stated; risk rating, refusal, training and review sections added.

1. Purpose and legal basis

Cypadi Ltd (Cypadi, we, us) is committed to preventing money laundering, terrorist financing, fraud and the abuse of its marketplace. This policy sets out how Cypadi identifies the parties it deals with, monitors transactions, settles with the vendors who sell on its platform, keeps records and reports suspicion.

This policy is adopted in line with **Law No. 058/2023 of 2023 on the prevention and punishment of money laundering offences**, the directives and guidance of the **Financial Intelligence Centre (FIC)** of Rwanda, and the requirements of the payment institution and mobile money operators through which Cypadi receives customer payments. Where a partner requirement is stricter than this policy, the stricter requirement applies.

2. Scope and business model

Cypadi operates **shop.cypadi.com**, an online marketplace in Rwanda. Independent sellers (vendors) list products on the platform; customers browse, order and pay in Rwandan francs by MTN Mobile Money or Airtel Money. Cypadi reviews each vendor before any product is published, collects the customer payment, and settles the vendor once the order has been completed.

This policy applies to every customer who registers on the platform, every vendor who applies to sell on it, and every employee, contractor and administrator who has access to customer data, orders or payment functions.

Cypadi **does not** operate a mobile money wallet or a bank account on behalf of a customer, does not take deposits, does not provide money transfer, currency exchange or lending services, and does not pay interest on any balance it holds. Mobile money PINs and wallet credentials are never requested, seen or stored by Cypadi. The only funds Cypadi holds are customer payments for confirmed orders, held in its settlement account with its payment partner until the order is completed or refunded under section 13.

3. Definitions

Term	Meaning
CDD	Customer due diligence: the standard identification information collected from every customer and vendor.
EDD	Enhanced due diligence: additional verification applied to higher-risk customers, vendors or transactions.
PEP	Politically exposed person: a person entrusted with a prominent public function, and their family members and close associates.
MLRO / Compliance Officer	The person appointed by Cypadi under section 4 to own this policy, assess alerts and file reports.
STR	Suspicious transaction report, filed with the FIC.
FIC	The Financial Intelligence Centre of Rwanda.
Vendor	An independent seller approved under the Vendor Due Diligence Procedures (CYP-VDD-001) to publish listings on shop.cypadi.com and receive settlement.
Settlement	The transfer by Cypadi to a vendor of the product price of completed orders, less the commission stated in the Vendor Agreement, as described in section 13.

4. Governance and responsibilities

Managing Director. The Managing Director is accountable for this policy, approves it, and ensures that Cypadi has the resources to apply it.

Compliance Officer. Cypadi appoints a Compliance Officer as its money laundering reporting officer. The Compliance Officer:

- owns and maintains this policy and the Vendor Due Diligence Procedures;
- reviews vendor applications, including the identity document supplied, and approves or rejects them before any product is published;
- reviews monitoring alerts and decides whether a transaction is released, held, refunded or reported;

- approves or withholds vendor settlements where an investigation is open;
- files suspicious transaction reports with the FIC where required, and keeps the register of reports;
- maintains the record of staff briefings and this policy review cycle.

Name, title and contact: Pacifique MASENGESHO, Compliance Officer, compliance@cypadi.com, +250 792 359 800.

All staff. Every member of staff, contractor and administrator must read this policy, must not process a transaction they know or suspect to be unlawful, and must report suspicion to the Compliance Officer the same day.

5. Customer due diligence

5.1 Standard due diligence (all customers)

The following is collected from every customer and constitutes the standard CDD record:

- at registration: full name, email address, phone number and username;
- at checkout: delivery address, city, province, country, the items ordered, the order value, and the payment reference of the mobile money deposit.

This record is sufficient to identify the payer and to reconcile every order to a single payment. No product is dispatched unless the payment has been confirmed by the payment partner.

5.2 Enhanced due diligence (EDD)

Cypadi obtains a copy of a government-issued identity document (national identity card or passport), and records the source of funds where relevant, before completing a transaction where any of the following applies:

- a single order exceeds **RWF 500,000**;
- cumulative purchases exceed **RWF 2,000,000** within a rolling period of thirty (30) days;
- the name or phone number of the payer differs materially from the registered account holder;
- the customer is a politically exposed person, a family member or a known close associate;
- the transaction has been flagged under section 9.

Where satisfactory identification cannot be obtained, Cypadi cancels the order and refunds the payment to the original paying number through the same provider.

6. Vendor due diligence

Before any vendor product appears on shop.cypadi.com, Cypadi verifies the vendor identity and business details and a Compliance Officer approves the application. Until that approval is recorded in the platform, the vendor cannot publish any listing and cannot receive settlement. The detailed checks, the approval gate, the risk rating, the prohibited-product list and the decision record are set out in the **Vendor Due Diligence Procedures (CYP-VDD-001)**, which is incorporated into this policy by reference.

7. Risk assessment

Customers, vendors and transactions are rated **low**, **medium** or **high** risk. The rating is recorded, determines the level of due diligence applied, and fixes the re-review interval below.

Rating	Indicators	Applied controls	Re-review
Low	Verified identity; consistent order pattern; delivery within Rwanda; no adverse findings.	Standard CDD; automated monitoring under section 9.	Every 24 months
Medium	Unverified business registration; trading less than 12 months; higher-fraud categories such as electronics and mobile phones; orders approaching the EDD threshold.	Standard CDD plus business verification; transaction limits; manual review.	Every 12 months
High	Politically exposed person; adverse media; identity inconsistent with the payer; repeated failures or refunds; anything Cypadi cannot verify.	EDD before the transaction; Compliance Officer approval for each order; settlement held until cleared.	Every 6 months

8. Sanctions, PEP and adverse media screening

At onboarding, and on the re-review interval set in section 7, Cypadi screens vendor owners and any high-value customer against:

- the United Nations Security Council consolidated sanctions list;
- the OFAC Specially Designated Nationals list of the United States Treasury;
- the European Union consolidated sanctions list;
- the Rwandan gazette of designated persons and entities;
- adverse media reporting relating to financial crime.

The screening result, the lists consulted and the date of screening are recorded in the customer or vendor file. A confirmed match results in refusal of onboarding or termination of the relationship, freezing or reversal of the affected transaction, and a report to the FIC where required.

9. Transaction monitoring

Cypadi reviews transactions daily against the following indicators. Every alert is examined by the Compliance Officer within one business day of being raised.

- three or more failed payment attempts followed by a successful one from the same number;
- one phone number paying for three or more accounts with no apparent connection;
- a single order at or within five per cent of the provider published maximum;
- several orders to one delivery address paid from different numbers;
- repeated order-and-cancel or order-and-refund patterns;
- an order placed from a device or network inconsistent with the account history;
- a vendor listing products unrelated to its declared business category;
- a vendor requesting early settlement, or a change of settlement number shortly after approval.

Cypadi may delay, hold, decline or reverse any transaction, and withhold any settlement, while an investigation is open, and may suspend the account concerned.

10. Suspicious transaction reporting

Any member of staff who becomes aware of activity they know or suspect to be linked to money laundering or terrorist financing must report it to the Compliance Officer immediately and in writing. The Compliance Officer assesses the report, records the decision and its reasons, and where Cypadi knows or suspects money laundering or terrorist financing, files a suspicious transaction report with the FIC without delay.

Cypadi does not disclose to the customer, the vendor, or any third party that a report has been made or is contemplated. Reports and the register of reports are held by the Compliance Officer and are not stored with ordinary customer records.

11. Record keeping and retention

Cypadi retains identification data, identity-document images, order and deposit records, vendor files, screening results, monitoring alerts, investigation files, settlement ledgers and reports for **five (5) years after the end of the customer or vendor relationship**, or for such longer period as the FIC or a competent authority directs. Records are stored on access-controlled systems, identity documents are served only through an authenticated route and never as public files, and records are produced to the payment partner, the mobile money operators, the FIC or any competent authority on request.

12. Third-party payment providers

Customer payments are collected in Rwandan francs through **PawaPay Ltd**, acting for the licensed mobile money operators **MTN Mobile Money Rwanda** and **Airtel Money Rwanda**. Cypadi relies on these regulated partners for the execution of the payment and for the settlement of collected funds into the Cypadi settlement account. Cypadi remains responsible for the identity of its customers and vendors, for the legitimacy of the orders it accepts, and for the settlement obligations it owes to approved vendors under section 13.

13. Vendor settlements and funds held

Cypadi is a marketplace operator, not a payment institution. It does not accept deposits, does not hold funds on behalf of customers beyond a confirmed order, and does not pay interest on any balance. The settlement rule below is binding and is applied to every vendor:

- **What is held.** When a customer pays for an order, the payment is collected through PawaPay into the Cypadi settlement account. That money is held only for the purpose of completing or refunding that order.
- **When the vendor is paid.** Cypadi settles an approved vendor **within three (3) working days after the customer confirms delivery** of the order.
- **Where the money comes from.** Settlement is paid **from Cypadi's own settlement account**, by mobile money to the settlement number recorded in the vendor file at the time of approval.
- **What is paid.** The product price of the completed order, less the commission stated in the Vendor Agreement. Delivery charges are not included in the vendor share.
- **Where delivery is not confirmed.** If the customer does not confirm delivery, the order is treated as completed and enters the settlement run seven (7) days after the delivery record is created on the platform, unless the customer has raised a dispute.
- **When settlement is withheld.** Cypadi withholds settlement where the order has been cancelled, refunded or disputed, where an identity or monitoring alert under section 9 is open, where the vendor

has been suspended, or where a report to the FIC has been made. The vendor is told that settlement is on hold, but not the ground for a report.

- **Change of settlement number.** A request to change the settlement number is treated as a high-risk event: it requires the Compliance Officer's approval, is confirmed in writing with the vendor, and is logged.

Cypadi keeps a settlement ledger recording, for each order, the amount collected, the commission applied, the amount released, the date released and the mobile money transaction reference. The ledger is reconciled against the payment partner statement at least once a month.

14. Refusal, suspension and termination

Cypadi may decline to onboard a customer or vendor, refuse or cancel an order, suspend or close an account, withhold a settlement, restrict access to the platform, or terminate a relationship where this policy or the Vendor Due Diligence Procedures are not met, where identification cannot be completed, or where suspicion of financial crime arises. The decision, the reason and the date are recorded. Where a payment has already been collected and the order cannot proceed, the payment is refunded to the original paying number.

15. Personal data protection

Personal data collected under this policy is processed only for the purposes set out in the Cypadi Privacy Policy, in line with **Law No. 058/2021 of 2021 relating to the protection of personal data and privacy**. A customer or vendor may request access to, correction of, or deletion of their personal data by writing to compliance@cypadi.com; requests are answered within thirty (30) days. A deletion request does not override the retention obligation in section 11.

16. Staff training and awareness

Every member of staff, contractor and administrator with access to customer data, orders or payments is briefed on this policy at induction and at least annually thereafter, and after any material amendment. The briefing covers identification requirements, the monitoring indicators in section 9, the settlement rule in section 13, the escalation route to the Compliance Officer and the prohibition on tipping off. Attendance is recorded and signed by the Compliance Officer.

17. Review and amendment

This policy is reviewed at least every twelve (12) months, and immediately on any material change in the Cypadi business model, product range, payment providers or applicable law, or following any serious compliance incident. Amendments are recorded in the version history table, approved by the Managing Director and issued as a new version number.

Approval

This policy was approved by the Managing Director of Cypadi Ltd on the date shown below and takes effect from that date.

SIGNED FOR AND ON BEHALF OF CYPADI LTD

Signature

Pacifique MASENGESHO
Managing Director, Cypadi Ltd

Date: 10 November 2026

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